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EnCap Investments L.P.
Memorandum

To:	EnCap Investment Staff
From:	Kyle Kafka, George Purgason, Michael Guenther and Andrew Perry
Date:	January 29, 2024
Re:	**Novo Oil & Gas Holdings II, LLC – Potential $285.0 Million Fund XII Commitment**

The purpose of this memorandum is to (i) seek approval for a Fund XII commitment to Novo Oil & Gas Holdings II, LLC ("Novo II" or the "Company") and (ii) provide an update on Novo Oil & Gas LLC, ("Novo I") a Fund X company, and its recent sale to Earthstone Energy (now Permian Resources; NYSE: PR) & Northern Oil and Gas (NYSE: NOG). Novo II will be capitalized with a $300.0 million common equity commitment, with Fund XII committing $285.0 million and the Novo II management team ("Management") committing $15.0 million to pursue a lease aggregation and development strategy in the Northern Delaware Basin.

<u>Executive Summary</u>

- Novo II, headquartered in Oklahoma City, OK, is led by John Zimmerman (CEO), Kurt Shipley (COO), Brandon Patrick (President & CCO), and David Avery (CFO), all returning members of the Novo I team. Tim Fahler (former CEO of Novo I) is stepping down from his role and John Zimmerman has increased his responsibilities from CFO at Novo I to become CEO of Novo II. Additionally, David Avery stepped into the CFO role after serving as VP – Finance at Novo I. EnCap and Management are confident that the Company has the key employees in place to execute at a high level.
- Novo II will initially focus its efforts in the Northern Delaware Basin where Management will leverage existing relationships and recent operational success. Throughout Novo I, Management executed in tough regulatory situations in the NM potash area and worked well with offset operators to block up a core operated position through a combination of farm-ins, trades, and acquisitions. The Novo II strategy will be to aggregate acreage in a similar manner and Management already has several ideas to build a position.
- EnCap and Management are in final discussions regarding the formation of Novo II and have reached an agreement on deal terms. Based on EnCap's long-standing partnership with Management and our confidence in the team's capabilities, **<u>we recommend capitalizing Novo II with a $300.0 million equity commitment ($285.0 million from Fund XII and $15.0 million from Management).</u>**
- Novo I was formed in September 2016 with a $200.0 million common equity commitment ($196.0 million from Fund X and $4.0 million from Management). The Company initially pursued a project on the Central Basin Platform but soon pivoted to the Northern Delaware Basin in August 2017. Management had strong convictions in the subsurface merits of the "Salt Lake" area of Eddy County, NM and offset well results supported attractive development economics across multiple horizons. Novo I built a sizeable acreage and mineral position (~6,000 net acres and ~9,200 NRAs) through numerous acquisitions and trades. Novo I began to delineate the position in 2019 and commenced full field development in late 2020, capitalizing on a low service cost environment through the post-Covid downturn. Along with offset operators, Novo completely de-risked the multi-stacked zones and created a tremendous amount of value through its own operations.
- In the spring of 2020, Novo I assumed operations of the Scala Energy ("Scala") assets, another Fund X investment, which were ultimately merged into Novo I and added ~9,500 net acres in Culberson County, TX to the company.
- On August 15, 2023, EnCap closed on the sale of Novo I's operated leasehold position in the Delaware Basin to Earthstone Energy (now Permian Resources; NYSE: PR) and Northern Oil and Gas (NYSE: NOG) for an unadjusted purchase price of $1.5 billion in cash. The assets represented ~17,000 net acres producing ~57 Mboe/d (66% liquids). In addition, Novo I retained a significant portfolio of royalty interests (~8,400 NRA) that were excluded from the transaction. Including retained mineral value, EnCap expects to generate a 2.85x ROI and 21.7% IRR net to Fund X on its $491.3 million equity investment. See <u>Exhibit A</u> for additional returns information. See the next page for additional detail around the Novo I investment.

Novo I Overview

Woodstock Project

Novo I was formed in September 2016 with an initial $200.0 million common equity commitment ($196.0 million from Fund X and $4.0 million from Management). The company initially identified the Woodstock Prospect on the Central Basin Platform as a STACK analogue where the Meramec and Barnett formations were prospective. After establishing an acreage position in Ector County, TX, Novo I drilled an initial well (the "Cowden Well") to test the commerciality of the concept. In addition to experiencing cost overruns, well performance disappointed, which reduced EnCap and Management's appetite to expose additional capital to the project.

Novo I engaged Detring & Associates to explore a sale in an effort to recoup as much of the $29.0 million invested as possible and re-deploy any proceeds elsewhere. The sales process failed but Novo I was able to strike a joint development agreement with Zarvona, who agreed to purchase a 50% interest in Novo I's Cowden well for $2.4 million and carry Novo I for 100% of its well cost for up to two additional wells, in exchange for operatorship, and up to a 50% working interest in the acreage. The project was ultimately unsuccessful, and the prospect abandoned.

Northern Delaware Project

In August 2017, Novo I presented the Northern Delaware concept to the Board and had strong conviction in the subsurface merits of the "Salt Lake" area of Eddy County, NM. The company initially established a position offset to where the industry was active in delineating the Wolfcamp XY and Wolfcamp B, along with historical targets in the 2nd and 3rd Bone Springs.

After accumulating ~3,500 net acres and ~5,600 NRAs, Novo I's commitment was expanded by $100.0 million in June 2019, bringing total commitments outstanding to $300.0 million ($294.0 million from Fund X and $6.0 million from Management) to properly capitalize the company for near-term acquisitions and development.

By year-end 2019, the company had mostly assembled its acreage position in its core development area and completed a large trade to block up stranded acreage, bringing its asset footprint to ~6,000 net acres and ~9,200 NRAs. Additionally, the company had begun flowing back its initial 2-well development project.

Scala Combination

After its formation in July 2015, Scala (another Fund X investment) accumulated a ~37,000 net acre position in Culberson County, TX with a ~$2,600/net acre cost basis. The company achieved mixed results on 12 operated horizontal wells, and overall drilling economics were challenged by cost overruns, gas and NGL realizations, and short lateral inventory. In addition, the company had negotiated substantial drilling obligations to maintain its leasehold position.

As commodity prices continued to deteriorate into 2020, EnCap made the decision to part ways with management. Novo I stepped in to contract manage the assets given their relative proximity to the acreage, commercial mindset and demonstrated operational success in the Delaware Basin. In May 2021, EnCap merged Scala's assets into Novo I for $25.0 million deemed equity value. After substantial lease expirations, the assets consisted of ~9,500 HBP acres and was producing ~6.0 Mboe/d. Merging the assets allowed Novo I to recycle cash flow to fund ongoing development, increase scale, and added gas and NGL-weighted production and upside inventory. In conjunction with the combination, EnCap expanded Novo I's total commitment to $425.5 million ($417.0 million from Fund X and $8.5 million from Management) utilizing a portion of Scala's unused equity commitment.

Coming out of the Covid-induced downturn of 2020, Novo I took advantage of the low service cost environment and improving commodity fundamentals, accelerating development activity to pull value forward through the drill bit on both the Salt Lake and legacy Scala positions. By the beginning of 2023, the company had drilled and completed ~65 gross horizontal wells that were highly economic and allowed Novo to begin a robust distribution program from free cash flow which ultimately totaled $515.0 million. Given the constructive macro environment, receptive A&D market, and proper balance of PDP to remaining inventory, EnCap made the decision to market the assets.

Sale to Earthstone Energy & NOG

On June 14, 2023, Novo I signed an agreement to sell all its working interest properties to Earthstone Energy (now Permian Resources; NYSE: PR) and non-operated working interest partner, Northern Oil and Gas, (NYSE: NOG) for total consideration of $1.5 billion in cash. The assets sold included ~17,000 net acres in Eddy County, NM and Culberson County, TX producing ~57 Mboe/d (66% liquids).

The transaction closed on August 15, 2023, with Fund X receiving $654.5 million of cash proceeds after accounting for adjustments. Including distributions from the company prior to closing, Fund X realized $1.14 billion on its investment of $491.3 million for an actual realized ROI of 2.32x and IRR of 18.7%.

Novo I will continue to retain a portfolio of royalty assets that were excluded from the transaction. These assets consist of ~8,400 NRAs with currently monthly cashflow of ~$6 – $7 million and represent substantial incremental value to Fund X. Including holdback and retained mineral value, we ultimately expect Novo I to achieve an ROI of approximately 2.85x and an IRR of 21.7%. Please see <u>Exhibit A</u> for additional Novo I returns information.

Novo II Overview

Strategy

Novo II will focus on building a core acreage position in the Northern Delaware Basin where the team has had operational success. Management will leverage existing relationships, technical expertise, and commercial understanding to capture opportunities in an otherwise highly competitive area. Novo II has already identified numerous undeveloped positions held by both public and private operators in their key focus area that are actionable consolidation opportunities as legacy operators look to shed assets or accelerate value with a drilling partner. Management is confident they can utilize their operating skillsets to entice legacy operators to partner and farmout certain drilling opportunities. See <u>Exhibit B</u> for detailed operational milestones from Novo I that will be relevant as they seek to offer solutions to potential partners for farm-outs or drilling JVs.

Deal Structure

Based on Management's successful track record and our confidence in their ability to execute Novo II's strategy, we are proposing a $300.0 million common equity commitment to Novo II ($285.0 million from Fund XII and $15.0 million from Management). The Novo II terms have been modified to more appropriately reflect terms offered to high-quality, repeat management teams in the current market. Notably, while the hurdle rates have been decreased slightly, the promote arrangement is more favorable to EnCap. Below is a summary of the Novo II and Novo I structure and management incentive distribution hurdles.

Original Equity Commitment

	Novo II			Novo I	
	($MM)	*% of Total*		($MM)	*% of Total*
EnCap Fund XII	$ 285.0	*95.0%*	EnCap Fund X	$ 196.0	*98.0%*
Management	15.0	*5.0%*	Management	4.0	*2.0%*
Total	**$ 300.0**	***100.0%***	**Total**	**$ 200.0**	***100.0%***

Management Incentive Hurdles

[redacted]

Investment Rationale

- Opportunity to support a repeat, high-quality management team that has demonstrated their ability to identify, capture, and create value through various commodity price cycles.
- Commercially and operationally focused management team actively working and evaluating numerous opportunities in the Northern Delaware Basin.
- Similar mindset with regards to risk management and capital allocation.
- EnCap will control the Board and approve all major decisions.

Exhibit A – Novo I Proceeds & Returns Summary

Novo I Proceeds & Returns ($MM)		
Unadjusted Purchase Price	**$**	**1,500**
Less: Debt		(337)
Less: Holdback		(113)
Less: Post-Effective Time Distributions		(80)
Plus: Hedges		5
Less: Specified Asset Related Adjustments (1)		(28)
Less: Working Capital/Fees/Other		(18)
Cash Consideration at Closing	**$**	**929**
Closing Date		*8/15/2023*
Fund X Equity Invested	**$**	**491**
Distributions to Date		
Fund X Proceeds	$	487
Management Proceeds		28
Total	**$**	**515**
Distributions From Sale		
Fund X Proceeds	$	654
Management Proceeds		275
Total	**$**	**929**
Returns Summary - At Closing (2)		
Fund X Proceeds	$	1,142
Management Proceeds		302
Total	**$**	**1,444**
Fund X ROI		2.32x
Fund X IRR		18.7%
Holdback Release		
Fund X Proceeds	$	68
Management Proceeds		45
Total	**$**	**113**
Minerals CF & Sale Proceeds (3)		
Fund X Proceeds	$	191
Management Proceeds		127
Total	**$**	**318**
Returns Summary - Total Deal (2)		
Fund X Proceeds	$	1,400
Management Proceeds		475
Total	**$**	**1,875**
Fund X ROI		2.85x
Fund X IRR		21.7%

Note: Holdback represents 7.5% of unadjusted purchase price ($112.5 million). 50% released after 6 months, remainder released 9 months thereafter.

1. $25 million attributable to budgetary adjustments and $4 million paid to SCM.

2. Includes $207.1 million of Scala equity that was merged into Novo I for $25.0 million deemed equity value.

3. Includes $18.0 million of cash flow distributed December 2023 and assumes $300.0 million minerals sale in December 2026.

<u>Exhibit B – Novo I Operational Milestones</u>

NOVO II

Novo I – Operational Milestones

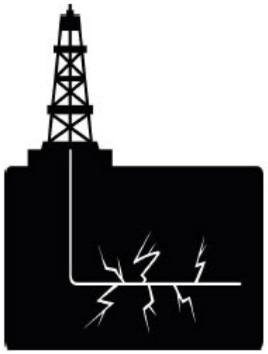
Drilling

- 102 wells drilled
- ~2 MM feet drilled
- ~3 MM feet of casing runs

Production

- Managed 104 wells (88 operated)
- Managed 95,000 gross peak Boepd (3-stream)
- Managed 175,000 bbld of peak gross fluid (35,000 Bopd and 140,000 Bowpd)
- Managed 255 mmcfd of peak gross gas

Completions



- 99 wells completed
- 3,551 stages pumped
- 911,000 feet of reservoir frac'd
- 2.3B lbs of sand pumped

ESG

- Zero recordable incidents for company personnel
- One Lost Time Accident for contractors
- 99.0% methane capture rate
- 99.9% fluid on pipelines
- ~20% recycled water across 99 wells frac'd